

MODULE -2

HUMAN RESOURCE PLANNING

- Human Resource Planning is a systematic process of forecasting both the prospective demand for and supply of manpower, and employment of skills with the objectives of the organization.
- Human resources undoubtedly play the most important part in the functioning of an organization. The term 'resource' or 'human resource' signifies potentials, abilities, capacities, and skills, which can be developed through continuous interaction in an organizational setting.
- The interactions, interrelationships, and activities performed all contribute in some way or other to the development of human potential. Organizational productivity, growth of companies, and economic development are to a large extent contingent upon the effective utilization of human capacities.

DEFINITION:

- **According To Coleman**, "Human Resource Planning is the process of manpower requirements of an organization and the means for meeting those requirements in order to carry out the integrated plan of the organization "
- **According To E.W. Vetter** viewed human resource planning as "a process by which an organisation should move from its current manpower position to its desired manpower position. Through planning, management strives to have the right number and right kind of people at the right places at the right time, doing things which result in both the organisation and the individual receiving maximum long-run benefit."

IMPORTANCE OF HRP:

1. Assessing Future Personnel Needs:
2. Foundation for Other HRM Functions:
3. Coping with Change:
4. Investment Perspective:
5. Expansion and Diversification Plans:
6. Employee Turnover:
7. Conformity with Government Guidelines:
8. International Expansion Strategies

9. Having Highly Talented Manpower Inventory:

1. Assessing Future Personnel Needs:

Whether it is surplus labour or labour shortage, it gives a picture of defective planning or absence of planning in an organization. A number of organizations, especially public sector units (PSUs) in India are facing the problem of surplus labour.

It is the result of surplus labour that the companies later on offer schemes like Voluntary Retirement Scheme (VRS) to eliminate surplus staff. Thus, it is better to plan well about employees in advance. Through HRP, one can ensure the employment of proper number and type of personnel.

2. **Foundation for Other HRM Functions:** HRP is the first step in all HRM functions. So, HRP provides the essential information needed for the other HRM functions like recruitment, selection, training and development, promotion, etc.
3. **Coping with Change:** Changes in the business environment like competition, technology, government guidelines, global market, etc. bring changes in the nature of the job. This means changes in the demand of personnel, content of job, qualification and experience needed. HRP helps the organization in adjusting to new changes.
4. **Investment Perspective:** As a result of change in the mindset of management, investment in human resources is viewed as a better concept in the long run success of the enterprise. Human assets can increase in value as opposed to physical assets. Thus, HRP is considered important for the proper planning of future employees.
5. **Expansion and Diversification Plans:** During the expansion and diversification drives, more employees at various levels are needed. Through proper HRP, an organization comes to know about the exact requirement of personnel in future plans.
6. **Employee Turnover:** Every organization suffers from the small turnover of labour, sometime or the other. This is high among young graduates in the private sector. This necessitates again doing manpower planning for further recruiting and hiring.
7. **Conformity with Government Guidelines:** In order to protect the weaker sections of the society, the Indian Government has prescribed some norms for organizations to follow. For example, reservations for SC/ST, BC, physically handicapped, ex-servicemen, etc. in the jobs. While planning for fresh candidates, HR manager takes into consideration all the Government guidelines.
8. **International Expansion Strategies:** International expansion strategies of an organization depend upon HRP. Under International Human Resource Management (IHRM), HRP becomes more challenging. An organization may want to fill the foreign subsidiary's key positions from its home country employees or from host-country or from a third country. All this demands very effective HRP.
9. **Having Highly Talented Manpower Inventory:** Due to changing business environment, jobs have become more challenging and there is an increasing need for dynamic and ambitious employees to fill the positions. Efficient HRP is needed for attracting and retaining well qualified, highly skilled and talented employees.

The main objectives of HRP are

- (i) Proper assessment of human resources needs in future.
- (ii) Anticipation of deficient or surplus manpower and taking the corrective action.
- (iii) To create a highly talented workforce in the organization.
- (iv) To protect the weaker sections of the society.
- (v) To manage the challenges in the organization due to modernization, restructuring and re-engineering.
- (vi) To facilitate the realization of the organization's objectives by providing right number and types of personnel.
- (vii) To reduce the costs associated with personnel by proper planning.
- (viii) To determine the future skill requirements of the organization.
- (ix) To plan careers for individual employee.

MANPOWER PLANNING :

- Manpower planning is a very important tool and technique of human resource management. It basically aims at maintaining and improving the ability of an organisation to attain the goals of an organisation by developing and utilising properly its human resources.
- It has made clear that the objectives of an organisation are decided and defined by the top management. The role of human resource department is to sub-serve the overall objectives by ensuring the availability and optimum utilisation of human resources. Therefore, manpower estimation is required to be done properly which involves the estimation of the quantity and quality of right type of people or human force.
- Manpower planning, the precursor of HRP, evolved to ensure that there was a systematic approach to make people available to business to execute its plans. It was variously defined as 'a strategy for the acquisition, utilization, improvement, and preservation of an enterprise's human resources'.
- The conventional approach to manpower planning has, however, been criticized for taking a static and mechanical stance, with the sole purpose of striking a perfect balance between shortage and excess of manpower.
- This approach is described as a 'tedious mathematical process' as it envisions a utopian world where people issues can be resolved through a logical and rational bases, without considering the unpredictable dynamics of market forces, and the external and internal contexts of organizations.
- HRP is the process to determine the way in which the business organization should progress from its existing manpower position to the ideal position.

The main dimensions of HR planning, estimation of manpower are as follows:

- (a) Total number of employees presently available and their types, nature of work, wages etc.
- (b) A detailed job-description for each position of employee working in different departments.
- (c) Age distribution, qualifications, experience etc., of the employees.
- (d) Estimation of short, medium and long-term manpower needs.

FACTORS AFFECTING HR PLANNING

- A. External Factors
- B. Internal Factors

External Factors Affecting HRP

- ❖ **Economy:** The state of economy has a direct influence on employment situations and the HR needs of an organization.
- ❖ **Technology:** The march of technology means that skill obsolescence will also occur at a faster pace, creating new workforce skills.
- ❖ **Law:** Various statutory requirements, judicial pronouncements, and executive actions also create boundaries for HRP.
- ❖ **Demography:** Due to competitive pressures to keep the costs under wraps and also to escape the rigors of statutory compliance, employers have been relying increasingly on contingent workers.
- ❖ **Geographic conditions:** HRP is also impacted by local conditions, the availability of suitable workforce in the neighboring labor market.
- ❖ **Society:** The trend for diversity and the rising numbers of women employees have warranted a fresh look at reworking the traditional workplaces.

Internal Factors Affecting HRP

- ❖ **Business strategy:** HRP has to align itself to the evolving business strategies of the organization and cannot remain stagnant.
- ❖ **Company policies and strategies** – Company policies and strategies relating to expansion, diversification, alliances, etc. determines the human resource demand in terms of quality and quantity.
- ❖ **Human resource policies** – Human resources policies of the company regarding quality of human resource, compensation level, quality of work-life, etc., influences human resource plan.
- ❖ **Job analysis** – Fundamentally, human resource plan is based on job analysis. Job description and job specification determines the kind of employees required.

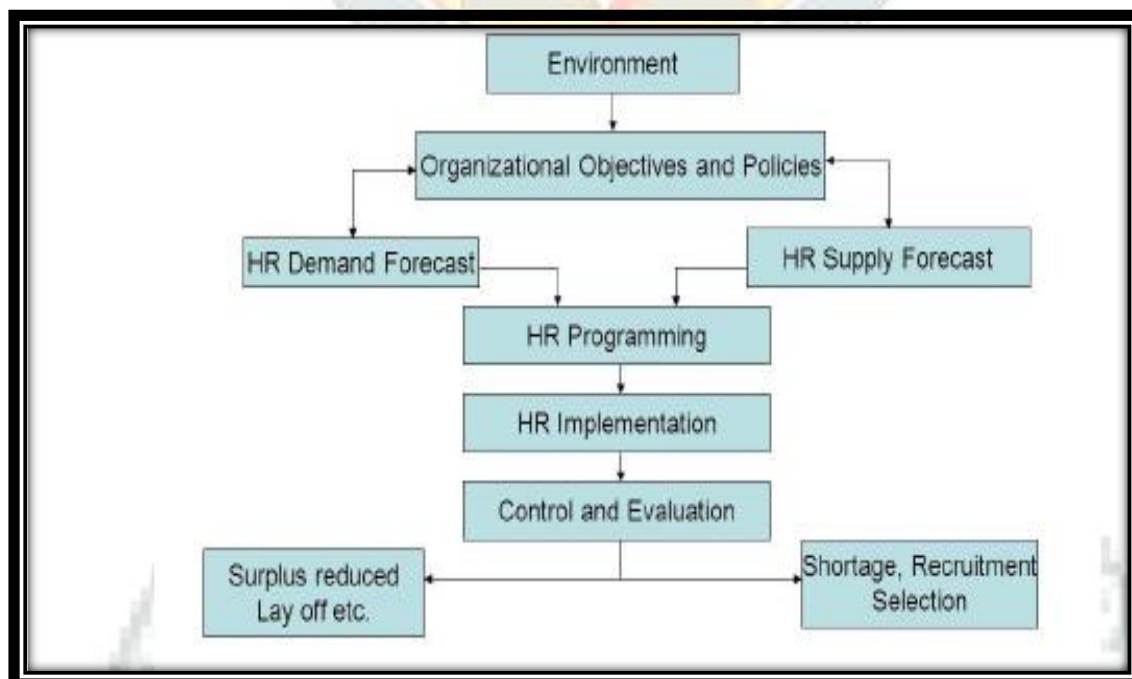
- ❖ **Time horizons** – Companies with stable competitive environment can plan for the long run whereas the firms with unstable competitive environment can plan for only short-term range.
- ❖ **Type and quality of information** – Any planning process needs qualitative and accurate information. This is more so with human resource plan; strategic, organisational and specific information.
- ❖ **Company's production operations policy** – Company's policy regarding how much to produce and how much to buy from outside to prepare a final product influence the number and kind of people required.
- ❖ **Trade unions** – Influence of trade unions regarding number of working hours per week, recruitment sources, etc., affect the HRP.
- ❖ **Other factors:** The other internal factors affecting the HRP process include time horizon (short- or long-term needs), organizational growth cycles (the needs at growth, maturity, and decline vary), quality of information available (e.g., an organization with advanced HR analytics and ERP will have access to more sophisticated analysis than a small startup).

BENEFITS OF HR PLANNING

1. **Talent acquisition:** HR departments, normally accountable for filling up vacancies, often struggle to meet the recruitment time schedules, as there are dangers of recruitments done under time pressure. Thus, HRP facilitates talent acquisition by:
 - a. Aligning the strategic planning with the headcount and talent planning.
 - b. Surfacing manpower demand and supply issues by costs, reporting relationship, and by location.
 - c. Providing dashboards for managers on the impact of their hiring decisions and future talent-acquisition priorities.
 - d. Minimizing employee costs and throwing lights on bottlenecks for employee productivity.
2. **Career development/succession planning:** HRP also enables us to formulate suitable career plans with back-up development strategies, to identify the potential leaders and take them through the charted path of grooming and preparing them for future responsibilities.
3. **Training:** With an effective HR plan, an organization can update and draw up suitable learning strategies to develop competencies that would give it the competitive edge over its rivals. It observes the emerging trends and even can anticipate the types of training programs that it needs to offer. HRP also helps the training and learning and development strategies. It covers induction and on-boarding plans for new employees, and getting them ready for performing and delivering on-skilled positions. The training input also includes acclimatization with the culture of the organization, information about the company products, services, organization structures, projects and initiatives, as also on personnel policies and practices.

4. It checks the corporate plan of the organisation.
5. HRP offsets uncertainties and changes to the maximum extent possible and enables the organisation to have right men at right time and in right place.
6. It provides scope for advancement and development of employees through training, development, etc.
7. It helps to anticipate the cost of salary enhancement, better benefits, etc.
8. It helps to anticipate the cost of salary, benefits and all the cost of human resources facilitating the formulation of budgets in an organisation.
9. To foresee the need for redundancy and plan to check it or to provide alternative employment in consultation with trade unions, other organisations and government through remodeling organisational, industrial and economic plans.
10. To foresee the changes in values, aptitude and attitude of human resources and to change the techniques of interpersonal, management, etc.
11. To plan for physical facilities, working conditions and the volume of fringe benefits like canteen, schools, hospitals, conveyance, child care centres, quarters, company stores, etc.
12. It gives an idea of type of tests to be used and interview techniques in selection based on the level of skills, qualifications, intelligence, values, etc., of future human resource.
13. It causes the development of various sources of human resources to meet the organisational needs.
14. It helps to take steps to improve human resource contributions in the form of increased productivity, sales, turnover, etc.
15. It facilitates the control of all the functions, operations, contribution and cost of human resources.

HRP PROCESS:



Environmental Scanning:

It refers to the systematic monitoring of the external forces influencing the organization. The following forces are essential for pertinent HRP.

- ☐ Economic factors, including general and regional conditions. Technological changes
- ☐ Demographic changes including age, composition and literacy,
- ☐ Political and legislative issues, including laws and administrative rulings Social concerns, including child care, educational facilities and priorities.

By scanning the environment for changes that will affect an organization, managers can anticipate their impact and make adjustments early.

Organizational Objectives and Policies:

HR plan is usually derived from the organizational objectives. Specific requirements in terms of number and characteristics of employees should be derived from organizational objectives. Once the organizational objectives are specified, communicated and understood by all concerned, the HR department must specify its objective with regard to HR utilization in the organization.

HR Demand Forecast:

Demand forecasting is the process of estimating the future quantity and quality of people required to meet the future needs of the organization. Annual budget and long-term corporate plan when translated into activity into activity form the basis for HR forecast.

Demand forecasting is influenced by both internal factors and external factors: external factors include-competition, economic climate, laws and regulatory bodies, changes in technology and social factors whereas internal factors are budget constraints, production level, new products and services, organizational structure and employee separations.

Demand forecasting is essential because it helps the organization to

1. Quantify the jobs, necessary for producing a given number of goods,
2. To determine the nature of staff mix required in the future,
3. To assess appropriate levels in different parts of organization so as to avoid unnecessary costs to the organization,
4. To prevent shortages of personnel where and when, they are needed by the organization. 5. To monitor compliances with legal requirements with regard to reservation of jobs.

Techniques like managerial judgment, ratio- trend analysis, regression analysis, work study techniques, Delphi techniques are some of the major methods used by the organization for demand forecasting.

HR Supply Forecast:

Supply forecast determines whether the HR department will be able to procure the required number of workers. Supply forecast measures the number of people likely to be available from within and outside an organization, after making allowance for absenteeism, internal movements and promotions, wastage and changes in hours, and other conditions of work.

Supply forecast is required because it is needed as it

1. Helps to quantify the number of people and positions expected to be available in future to help the organization realize its plans and meet its objectives
2. Helps to clarify the staff mixes that will arise in future
3. It assesses existing staffing in different parts of the organization.

4. It will enable the organization to prevent shortage of people where and when they are most needed.

5. It also helps to monitor future compliance with legal requirements of job reservations.

Supply analysis covers the existing human resources, internal sources of supply and external sources of supply.

HR Programming:

Once an organization's personnel demand and supply are forecasted the demand and supply need to be balanced in order that the vacancies can be filled by the right employees at the right time.

HR Plan Implementation:

HR implementation requires converting an HR plan into action. A series of action are initiated as a part of HR plan implementation. Programmes such as recruitment, selection and placement, training and development, retraining and redeployment, retention plan, succession plan etc when clubbed together form the implementation part of the HR plan.

Control and Evaluation:

Control and evaluation represent the final phase of the HRP process. All HR plan include budgets, targets and standards. The achievement of the organization will be evaluated and monitored against the plan.

During this final phase organization will be evaluating on the number of people employed against the established (both those who are in the post and those who are in pipe line) and on the number recruited against the recruitment targets. Evaluation is also done with respect to employment cost against the budget and wastage accrued so that corrective action can be taken in future

HUMAN RESOURCE PLANNING AND DEMAND FORECASTING TECHNIQUES

- Human resource planning is a process used to predict future human resource requirements. Human resource forecasting, also known as HR forecasting, generally utilizes past sales data in order to more accurately estimate future staffing needs.
- HR forecasting begins with performing comprehensive job analyses and estimating employee output levels. Factoring in the labor market and labor supply helps with both human resource planning and resource management optimization.
- There are both quantitative and qualitative approaches for forecasting human resource demands. While quantitative methods are heavily reliant on mathematical and statistical analysis, qualitative forecasts generally depend more on managerial judgement techniques.

TOOLS FOR DEMAND FORECASTING

A. Qualitative Forecasting

B. Quantitative Forecasting

QUALITATIVE FORECASTING

1. Managerial Judgements:

- In this process, managers discuss and agree on a requirement of manpower. There are two common ways of doing it. In the first approach, also known as the bottoms-up approach, the assessment process starts at the level of the line managers who send their proposals higher up through the hierarchy of the organization; the proposals finally get looked in and approved by the top management. In the second approach, known as the top-down approach, it is the top management that initiates the forecast that is examined and concurred by the department heads.
- In a variation of the above, known as the participative or the two-way approach, the two approaches are integrated. The line managers make their own assessment and project a figure based on guidelines provided by the HR function. Concurrently, the top management also makes a forecast. Thereafter, a committee consisting of line and HR functional representatives examines the forecasts of both the above groups to decide on the certain figure, which is then put up to the top management for the final approval.

2. Delphi Technique

- In this top-down method, a group of experts (internal and/or external) is called upon to forecast demand, which are then summarized by the HR functionaries, and the collated reports are sent back to the experts.
- Uniquely, the experts operate individually, and do not sit together, while making their assessments. On the basis of the summarized views of all, the experts give further comments. The cycle of reviews is repeated till all the experts come to a consensus. The above technique, while being highly reliable, suffers from the limitation of being expensive, time-consuming, and vulnerable to ego clashes between the experts causing impasse and delayed decisions.
- A variation of the above is known as the nominal group technique, which is a group-based forecasting technique. In this method, a group of four or five participants presents their views regarding workforce requirements. These views are recorded and discussions are only held afterward as the information is presented. The group takes a decision based on a final ballot.

3. Unit Demand Forecasting

- In this method, the units (a department, a project team, or some other group of employees) furnish certain workforce estimates on the logic that they are fully conversant with what business activity will be undertaken by their units in future.
- The aggregated estimates for all departments constitute the total forecast for the organization. This is also compared with the demand forecast prepared by the workforce analysts.
- For example, a unit finds that 5% of its critical workforce will retire in a year's time and that, combined with an ambitious capacity expansion, the effect would hamper its functioning. In a proactive response, if the unit recruits the critical employees in a planned manner, the department managers will have time to become aware of the

skills, abilities, and desires of their employees, and this could reveal a discrepancy with the organizational forecast.

4. **Replacement Planning/Allocation Planning**

- Replacement planning: Manpower estimates are arrived at by using charting techniques that plot current role holders and critical data about each of them. This often covers a summary evaluation of performance and potential, age, time spent on present role, and the length of service.
- Allocation planning: This method involves judgments about labor supply or demand on the basis of the observation of the movement of employees across different roles at the same organizational level.

QUANTITATIVE FORECASTING

1. **Trend analysis:**

This examines past employment levels against business variables to predict future manpower levels. This is a quick forecasting technique using past ratios (e.g., between the number of operators and output in a manufacturing unit) to predict future ratios while allowing for some changes in the organization or its processes.

2. **Regression analysis:**

Regression analysis, in a manner similar to trend analysis, predicts the dependent variable on the basis of understanding of certain independent variables. It is a refined statistical tool to determine the best fit. In a simple linear regression, only one dependent and one independent variables are studied. When the variables are more than 1, then it is multiple regression, most uses of multiple regression emphasizes two or more independent variables

3. **Ratio analysis:**

Like trend analysis, this uses the ratio between some causal factor (such as production volume) and the number of skilled operators to forecast the requirement (e.g., the number of operators). It assumes that the output per person remains stationary. For example, in case a skilled operator historically produces 1 million units per day, and that plans call for increasing the output to 2 million units/day next year, then, if the output–operator ratio remains the same, one new operator would be required for each line.

4. **Work-study techniques:**

In situations where the workload can be accurately measured, this technique can be effectively used to predict the estimated total output and the activities for a specific time span in future. When using this technique, the starting point could be the production budget, drawn from the sales plan. Then finally, the number of man power is calculated based on the number of hours required to yield the planned output. Work-study techniques work where it is possible to accurately predict the budgeted figures.

5. **Flow model:**

This model bases the HR demand forecast on analyses of different kinds of movement of employees over specific time periods in the past. The most basic model is known as the Markov model. The steps followed in this model are as follows:

- a. Decide on the target time span.
- b. Establish employee categories known as states.
- c. Count the annual movements, called flows, between states for several time periods. These states could include gains (recruitment or transfer) or losses (death) or changes in position levels or employment status.
- d. Forecast the probability of movement from one state to another based on past trends.

ATTRIBUTES OF AN EFFECTIVE HR PLANNING,

- ❖ **Future Oriented:** Human resource planning is prepared to assess the future requirement of manpower in the organization. It helps identify the size and composition of resources for future purpose.
- ❖ **Continuous Process:** Human resource planning is a continuous process. The human resource planning prepared today may not be applicable for future due to ever changing external forces of the environment. Hence, to address such changing factors, the human resource planning needs to be revised and updated continuously.
- ❖ **Optimum Utilization Of Human Resources:** Human resource planning focuses on optimum utilization of resources in the organization. It checks how the employees are utilized in a productive manner. It also identifies employees' existing capabilities and future potentialities to perform the work.
- ❖ **Right Kinds And Numbers:** Human resource planning determines the right number and kind of people at the right time and right place who are capable of performing the required jobs. It also assesses the future requirement of manpower for organizational objective
- ❖ **Determination Of Demand And Supply:** Human resource planning is a process of determining demand for and supply of human resources in the organization. Then a match between demand and supply estimates the optimum level of manpower.
- ❖ **Environmental Influence:** Human resource planning is influenced by environmental changes, hence, it is to be updated as per the change occupied in the external environment.
- ❖ **Related To Corporate Plan:** Human resource planning is an integral part of overall corporate plan of the organization. It can be formulated at strategic, tactical and operational levels.

- ❖ **A Part Of Human Resource Management System** As a part of total human resource management system, human resource planning is regarded as a component or element of HRM which is concerned with acquisition and assessment of manpower. It serves as a foundation for the management of human resource in an effective and efficient manner.
- ❖ **State of the economy:** The state of businesses is directly affected by the cyclical fluctuations of economic forces. These include investment climate, inflation rate, GDP growth, and particularly, the unemployment rate. Low unemployment rate means tight supply of skilled manpower and professionals, while an ascending unemployment implies abundance of manpower at relatively cheap rate.
- ❖ **Demographic factors:** They provide a platform for countries to encash their demographic dividend and leapfrog to a higher level of income-employment situation. This prospect arises at a stage of demographic transition when the population pyramid expands in the middle, implying a greater share of working age people in the total population and thus a lower dependency ratio.
- ❖ **Professional market conditions:** Apart from assessing the general labour market conditions, employers also keep an eye on the availability of potential resources in targeted professions (programmers, instrumentation technicians financial analysts, etc.) for recruitment. With the boom in several sunrise sectors, industries fought hard to source project engineers, geologists, and investment bankers.

BARRIERS TO HRP

- **Time frame:** Many managers are focused on executing current-year results, but workforce planning has typically addressed a longer time frame and doesn't show immediate gains that can help meet this year's results.
- **Data integrity** concerns when 'getting out of the gate'. Managers are reluctant to review future plans when they feel that they can't get a proper view of the current head count.
- **Control:** Some managers have gut feelings and don't want to reference data without a compelling data story. There is no opportunity to shift this stance until managers experience the actual pain that could have been avoided through workforce planning.
- **Detail:** Organizations have a hard time settling on the appropriate level of granularity of workforce planning, or their job taxonomy. It's generally understood that a workforce plan has to distinguish one type of job from the next, but is it sufficient to look at broad labor categories, narrower job families, individual jobs, or actual skillsets? So many organizations get into self-imposed delays in rolling out their planning program by trying to find the perfect level at which to plan. From a planning perspective, however, if organizations could start by planning out high-level job categories, this is a great start, and may be enough.

- **Forecasting:** Traditional forecasting methods are poor at predicting the actual individuals at risk for turnover and retirement, and, thus, are not sufficiently actionable.
- Two recent trends serve to moderate: and sometimes even eliminate, these potential roadblocks. The first is a broad-scale acceptance of data-driven decision-making that is infusing the culture of organizations and making workforce planning inherently more attractive. The second involves recent advances in predictive analytics and modeling technology. These advances provide more compelling near-term actionable information about granular employee-level supply risk, while simultaneously helping with demand-based scenario planning. Coupled together, these trends have a profound ability to move workforce planning from a 'nice-to-have' status to a critical program for high-performance organizations.
- **Lack of Support:** People think that the human resource planning is unnecessary and time consuming. Workforce can be arranged anytime at the time of requirement, with attractive benefits and incentives so why human resource planning. They think it is an easy task to manipulate the workforce in the organization.
- **Wrong Perception about Human Resource Practitioner:** In this competitive business world it is very difficult and challenging to compete with the rivals without formulating proper strategic plan. Many have the perception that the people who formulate the human resource plan are not expert in business, as a result of which they may commit error while formulating the human resource plan.
- **Resistance from Employees:** Employees and trade unions often resist human resource planning. They feel that this planning increases their overall workload and regulates them through productivity bargaining. They also feel that it would lead to wide spread unemployment, especially of unskilled labour.
- **Coordination with other Managerial Functions:** There is generally a tendency on the part of the human resource planners to remain aloof from other operating managers and to become totally absorbed in their own world. To be effective human resource planning must be integrated with other management functions.
- **Expensive and Time Consuming:** Human resource planning is an expensive and time consuming process. Employers may resist human resource planning feeling that it increases the cost of human resource.
- **Uncertainties:** Labour absenteeism, labour turnover, trade cycles, technological changes and market fluctuations are the uncertainties which serve as constraints to Human Resources planning. It is risky to depend upon general estimates of human resource in the face of rapid changes in environment.
- **Insufficient Information:** In most of the Indian organisations, human resource information system (HRIS) has not been fully developed. In the absence of reliable data it may not be possible to develop effective human resource plans.
- **Inaccuracy:** Human resource planning involves forecasting the demand for and supply of human resources. Therefore, it cannot be a cent percent accurate process. Longer the time horizon, greater is the possibility of inaccuracy. Inaccuracy increases when departmental forecasts are merely aggregated without critical review.

THE CHALLENGES FOR HRP

Human Resource Planning (HRP) involves the systematic assessment of an organization's current and future human resource needs to ensure that it has the right talent in the right positions at the right time. Several challenges can arise when implementing HRP. Here are some of the common challenges:

1. **Uncertain Future:** Predicting the future workforce needs accurately is a challenge due to the unpredictable nature of business environments, technological advancements, economic shifts, and other external factors.
2. **Rapid Technological Changes:** Technological advancements can quickly render certain skills obsolete while demanding new ones. HRP must account for the evolving skill sets required in the workforce.
3. **Globalization:** Organizations may need to manage a workforce distributed across different regions and cultures, which requires understanding and accommodating various labor laws, cultural norms, and time zones.
4. **Talent Shortages:** Identifying and recruiting skilled talent can be challenging, especially in industries facing a shortage of qualified professionals. This challenge is exacerbated when multiple organizations compete for the same talent pool.
5. **Skill Mismatches:** Even when there's an available workforce, there might be a disconnect between the skills possessed by potential employees and the skills required for available positions.
6. **Demographic Changes:** Changes in demographics, such as aging populations and generational shifts, can impact the availability of certain skill sets and influence workforce dynamics.
7. **Changing Work Models:** The rise of remote work, gig economy, and flexible work arrangements can complicate workforce planning, as the traditional 9-to-5 model might not apply anymore.
8. **Employee Turnover:** High turnover rates can disrupt workforce stability and impact productivity. HRP needs to address turnover by understanding its causes and developing retention strategies.
9. **Data Accuracy:** HRP relies heavily on accurate data related to workforce demographics, skills, and performance. Inaccurate or outdated data can lead to flawed planning decisions.
10. **Resistance to Change:** Employees and management might resist changes proposed by HRP, especially if they perceive these changes as threatening job security or established work processes.

THE CHALLENGES FOR HR

- Change management
- Leadership development
- HR effectiveness measurement
- Organizational effectiveness

- Compensation
- Staffing: Recruitment and availability of skilled local labor
- Learning and development
- Staffing: Retention
- Benefits costs: Health & welfare

JOB ANALYSIS

- ☐ Job analysis is the systematic method of jobs to identify work activities, tasks, and responsibilities, working conditions to perform the job.
- ☐ According to Edwin B. Flippo, “A job analysis is the process of collecting and studying about the information related to operations and responsibility of a specific job.

PROCESS OF JOB ANALYSIS

Step 1: Identify purpose of job analysis

Step 2: Selecting the analysts

Step 3: Selecting the appropriate method

Step 4: Train the analysts

Step 5: Preparation of job analysis

Step 6: Collecting Data

Step 7: Review and verify data

Step 8: Develop a job description and job specification

How to perform / conduct a job analysis? You should do 8 steps as follows for conducting / writing a job analysis.

1. Identify purpose of job analysis

You should identify purpose of job analysis because that will determine what job analysis method, what data will be collected....

2. Selecting the analysts

You can choose analyst from professional human resource, line managers, incumbents or consultants.

3. Selecting the appropriate method

- Select representative positions to analyze because there may be too many similar jobs to analyze, and it may not be necessary to analyze them all.
- Review background information such as organization charts, process charts, and job descriptions of positions selected.

- Then identify methods of job analysis. There are many methods in job analysis, you should pay attention to advantages and disadvantages of each method in order to choose suitable one.
- Identify sample size of position.

4. **Train the analysts:** If you intend to use internal analysts you have to teach them how to use the selected methods.

5. **Preparation of job analysis:**

- * Communicate the project in the organization.
- * Preparing the documentation, for example: interview questions, questionnaires.

6. **Collecting data**

- * Collecting data on job activities, employee behaviors, working conditions, and human traits and abilities needed to perform the job.
- * Using one or more of the job analysis methods to collect data.

7. **Review and verify**

- * Consolidate the results. You must review all data collected. This will help you to confirm that the information is factually correct and complete. How can review information?
- * Review data with his or her immediate supervisor.
- * Review data by technical conference (is a job analysis method).
- * Review data with incumbents by interview.

8. **Develop a job description and job specification**

Implement the results into the company procedures according to the goal-setting. Develop a job description and job specification from the job analysis information. A job description is a written statement that describes the activities and responsibilities of the job, working conditions and safety and hazards...A job specification summarizes the personal qualities, traits, skills, and background required for getting the job done

Job Analysis in layman's language means the procedure of gathering information about a job. This process involves two sets of information:

A. JOB DESCRIPTION: This is a very vital document which is usually explanatory in nature. It consists of both organizational as well as functional information. It provides information as to the scope of activities, position of the job and the responsibilities. It gives the employees a very clear picture of what is required of him to meet the goals of his job. A good Job Description must consist of the following:

- ☐ It should include the nature and scope of the job along with accountability.
- ☐ A good Job Description should be lucid about the position, responsibilities & duties.
- ☐ The complexity of the job.
- ☐ The amount of skills required for that particular job.
- ☐ How far are the problems consistent?
- ☐ The level of responsibility the worker has for each stage of work.

CONTENTS OF JOB DESCRIPTION

Usually the Job Description consists of the following:

- a) **Job classification:** This includes title of the job, alternate title if any, job code, division or department etc. The title of the job designates the job properly and division or department indicates which department and location does the employee work.
- b) **Job Summary:** It serves two purposes here; one is that when the Job Title is not sufficient it gives additional information on the job. Secondly it gives more descriptive information about the particular job.
- c) **Duties and Responsibilities:** This lists out the entire duties and responsibilities of a particular job. Sometimes duties and responsibilities are also listed for particular skills and their incidence of occurrence.
- d) **Relation to other jobs:** This gives the employees a fair amount of picture as to the hierarchy of the position. Like to whom they are reporting: senior, junior, etc.

B. JOB SPECIFICATION

Job Specification converts the job description to qualifications that are required for, in performing the job. This is usually a statement which consists of qualification, characteristics, traits etc, for an employee to possess to perform his duties. The first thing here is to prepare a directory of all jobs and then the next step is to make a write up of each and every job.

CONTENT OF JOB SPECIFICATION

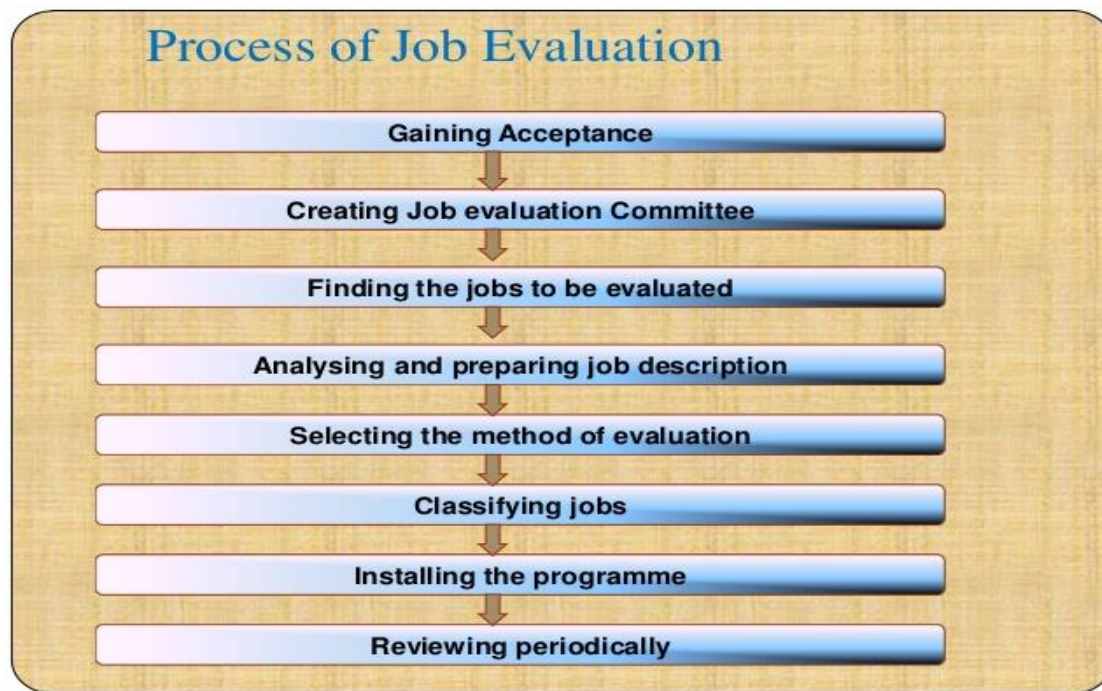
The following are the contents of Job Specification:

- a) **Physical Qualifications:** These qualifications or specifications vary from job to job. Physical Qualifications are nothing but the capabilities of employees. These include height, weight, hearing, vision, capacity to handle machines etc.
- b) **Mental Qualifications:** This includes the ability to interpret data, calculations, planning, general knowledge, judgment, memory etc.
- c) **Social and Emotional specifications:** This is vital for the role of Managers and Supervisors. It includes emotional constancy and elasticity. It also includes the way they dress, personality and relationship.
- d) **Behavioral Qualifications:** This qualification is very important in selecting employees for higher levels of management. This specification asks to depict the acts of the managers rather than traits which cause those acts. This includes creativity, research, maturity level, dominance etc.

JOB EVALUATION

- ☐ A **job evaluation** is a systematic way of determining the value/worth of a **job** in relation to other jobs in an organization. It tries to make a systematic comparison between jobs to assess their relative worth for the purpose of establishing a rational pay structure.

- ▣ Kimball and Kimball define job evaluation “as an effort to determine the relative value of every job in a plant to determine what the fair basic wage for such a job should be.”



The process of job evaluation involves following steps:

1. Securing acceptance from employees after explaining the purpose and use of job evaluation programme.
2. Creating job evaluation committee consisting of experienced employees, union representatives and HR experts.
3. Deciding the job to be evaluated, which may represent the type of work performed in the organisation.
4. Analysing and preparing job description.
5. Selecting method of evaluation, according to the job factors and organisational demand.
6. Classifying the jobs on the basis of weightage and monetary values.
7. Installing the programme in the whole organisation after explaining it to employees.

To summarize, Job evaluation is associated with a process of establishing worth of different jobs. Job evaluation offers a basis for ranking or grading different jobs and developing a pay structure for them. It is the process of explaining the duties, authority relationships, skills, condition of work and other relevant information related to jobs. It provides valuable data and information to develop job description and specification

documents. Job evaluation is a significant task of human resource manager which is done in order to determine the value or worth of each job within the organization.

RECRUITMENT

- ❑ Recruitment refers to the overall process of identifying, attracting, screening, shortlisting, and interviewing suitable candidates for jobs within an organization.
- ❑ Recruitment can also refer to processes involved in choosing individuals for unpaid roles.
- ❑ **Edward.B.Flippo:**

Recruitment is a process of searching for prospective employees and stimulating and encouraging them to apply for the job”

SELECTION

- ❑ **Selection** is the process of identifying an individual from a pool of job applicants with the requisite qualifications and competencies to fill jobs in the organization. This is an **HR** process that helps differentiate between qualified and unqualified applicants by applying various techniques.
- ❑ Selection is the process of choosing the most suitable candidates from those who apply for the job. It is a process of offering jobs to desired candidates.

PURPOSE OR OBJECTIVES /IMPORTANCE OF RECRUITMENT

- A proper recruitment process can ensure long-term retention of selected candidates.
- Success in recruitment also means good return-on-investment or value for the money spent on the recruitment process.
- In current times of globalization, more than at any earlier times, the trend is to build a culturally diverse workplace, which is also facilitated by a properly orchestrated recruitment process.
- It helps the organization by finding the necessary requirements by job analysis activities and personnel planning.
- It helps to accumulate candidates with less cost.
- It helps in employing new and better-qualified workforce.
- It is a long-term strategy for improving the growth of a company.
- Capabilities and commitment of employees ensure an organization’s success.
- Raise organizational and individual value in both short and long term

RECRUITMENT POLICIES

- Recruitment and selection policy is a statement of norms and guidelines describing the manner in which an organisation should conduct its recruitment and selection process. The recruitment policy seeks to ensure transparency and absence of any bias in recruitment and selection process; one that results in the appointment of the best candidate, who comes through purely on merit and is compatible with the organisational values, philosophy, and goals.

- A model recruitment and selection policy should have the following elements:

1. Respect for diversity
2. Ethical decision making
3. Merit based selection
4. Equal treatment for all
5. Procedural fairness

D. Seligman described four types of company positions on recruitment:

1. **Passive non-discrimination:** With a passive commitment not to discriminate based on community and sex for hiring, promotion and pay.
2. **Pure diversity-based:** This is based on commitment to select the best talent based on an expanded pool of candidates irrespective of sex or community.
3. **Diversity-based:** Recruitment with preferential hiring with a preferential treatment for women and minority.
4. **Hard quotas:** With mandate to recruit or promote definite numbers.

FACTORS INFLUENCING RECRUITMENT

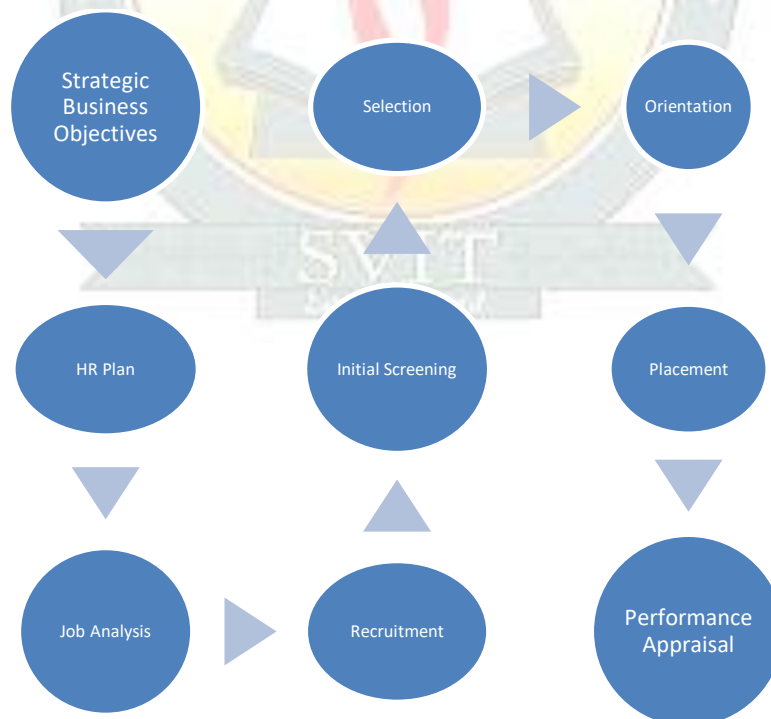
- ❖ Recruitment is affected by two sets of factors: internal and external. The internal factors include primarily the recruitment policies of the organization, as described above.
- ❖ The other internal factors include:
 1. A **well-structured** and comprehensive HR Plan, which facilitates seamless sourcing of manpower in a systematic and appropriate manner.
 2. The **size of the firm** in as much as the complexities in recruitment planning and process are generally inversely connected with the largeness of the organization.
 3. **Budgetary considerations:** requiring pursuit of cost-effective ways of recruiting (e.g., use of social media instead of search firms).

4. **Stage in the maturity cycle of the business**—implying, for example, that an organization in a decline stage would be far less inclined for recruitment than an organization in the growth stage.

❖ **External factors** affecting recruitment are:

- (1) **Labor market conditions:** A labour market in the classical sense meant a geographical area inside which the dynamics of labour supply and labour demand determine the price of labour. The surplus in supply would explain why unskilled labours struggle to obtain even the statutorily fixed minimum wage, in the same way that the scarcity in supply makes an Airline Pilot command salaries of their choice.
- (2) **Unemployment** rate in the geography: The higher the unemployment rate, the larger the number of applicants are for a given job. The national skill development program by the government is a step in the direction of managing the issue of unemployment by increasing the employment potential of a person through building marketable skill sets.
- (3) **Political and legal environment.**
- (4) **Technological changes**

PROCESS OF RECRUITMENT



- The Recruitment Process is a sequential chain of activities with three distinct and inter-connected stages: **pre-recruitment**, **recruitment**, and **post-recruitment**.
- It is also termed as the resourcing cycle. The core activities commence with the identification of a vacancy and conclude with the selected new employee performing his role to an acceptable standard. Recruitment can also be described as a hydra-headed process. While the candidate is under a scanner by the organisations to demonstrate his/her suitability for the given vacancy, the candidate is also gauging the organisation as a suitable future employer.
- It is, therefore, imperative that the entire recruitment process is helmed in a manner that not only ensures the selection of the most accomplished candidate(s), but also a degree of satisfaction in the rejected candidates of having participated in a fair, transparent, and professionally conducted process. Such an experience will enable him/her to apply again for a job in case of a future vacancy, along with other suitable candidate.

1. Pre-recruitment

- This stage includes:
 - a. **Business Strategy:** The first step begins with the big picture of the organization: the business strategy. In a scenario where the organization is venturing into new business, the parameters of recruitment may vary from the traditional business. The entire recruitment process may remain suspended in air if it does not have a visible linkage with the business strategy.
 - b. **HR Plan:** The second step in the process is the HR Planning process of scanning the environment, balancing the supply with demand, and arriving at the scenario of either surplus or scarcity. It will end up with an HR Program which will include the HR Plan of identified vacancies with the numbers, skill requirements of the manpower required for a specific period. Increasingly in respect of the identified vacancies, a more strategic and critical approach may be taken.
 - c. **Job Analysis:** The next step is the stage where the jobs are analyzed in minute detail to cull out the requirements of skill. The choice is for the organizations to adopt approaches suiting its needs—whether based on competencies or the classical processes of job analysis resulting in formal job descriptions and Job specifications. The exercise should ideally throw up specifications accurately describing the duties and requirements of the job as also the skills, aptitudes, knowledge, experience, qualifications, and personal qualities required to discharge the responsibilities in an appropriate manner.

2. Recruitment

- This stage includes:
 - a. **Core recruitment process:** In drawing up its recruitment plan, the organization aims to align the interests of the two parties by creating incentives for the most desirable candidates to apply, while keeping out the less qualified candidates from the mix. Through the recruitment process, organizations primarily try to attract the highest possible number of candidates and then filter out to select people who have the best

potential and fit their specific criteria. Organizations that recruit the more qualified applicants are typically ones that have a larger applicant pool.

❖ **Methods/Strategies** to attract candidates for the recruitment process include:

- Better compensation and benefits than competitors
- Promotional gifts and joining bonus
- Pre-placement talk
- Print and digital advertisement
- Company website

b. **Screening:** The objective of the next stage—screening, is to make available an adequate number of qualified candidates, based on which a selection can be done in a smooth manner without loss of time over volumes of unsuitable applications.

Search firms eminently serve the purpose by providing a small, manageable number of suitable candidates, in a relatively cost-effective and professional manner, in comparison to the traditional mode of advertisements campaigns which often require special efforts for eliminating mountainous heaps of ineligible applicants.

c. **Selection:** The last stage in core recruitment activity is selection. The short list of candidates generated at the end of the recruitment stage is finally funnelled on the basis of a choice of instruments into the desired number of candidates who are to be offered employment.

Unlike the other stages of recruitment, where candidates remain in the background, this is the only stage in recruitment processes in which the candidates have a direct and most powerful interface with the organization. Potentially, it is also the most negative part of the process, where the candidate can face rejection.

A critical success factor in selection stage is the choice of instruments of assessments which can accurately predict the perfect person job fit. Interviews, in various forms, still rule the selection roost in most organizations.

3. **Post-recruitment**

• This stage includes:

- a. **Orientation/onboarding:** The post-selection stage starts with the new recruit. The first step in it is orientation/onboarding. Onboarding aims at making the new recruits engaged and productive in a short time through a series of structured activities. Orientation process is intended to familiarize the new hires about the organizations policies and practices, the benefits, and the cultures through a process of socialization. Effective, carefully planned orientation and onboarding processes can reduce start-up costs and prevent employee turnover by helping new employees to adjust to their job and work environment with a positive attitude and increasing motivation.
- b. **Placement:** Placement is the allotment of individuals to specific jobs after a reasonable period of observation and assessment. It is based on several factors including skill level, work and educational experience, interview results, references, and consultation between the line and the human resources function. Following

placement, ongoing training programs enables the fresh hires to become comfortable and increasingly proficient in performing their jobs.

- c. **Performance Appraisal:** The last stage of the recruitment process is the stage of performance appraisal. The performance of the new employee has been monitored over a period of time and feedback given on periodical review of performance. The employee starts getting familiar with a key business process of goal setting, performance tracking, and feedback/reviews for improvement. The end point of the recruitment process cycle is also where the rubber meets the road, and the real test of an effective recruitment policy is in the performance of the new recruits to an acceptable standard.

SOURCES OF RECRUITMENT/ RECRUITMENT STRATEGY/ METHODS OF RECRUITMENT

Internal Recruitment	External Recruitment
Advertise the vacant position to your employees	Advertisement
From temporary to permanent	Walk-Ins
Employee Referrals	Search on the Internet
Appointment of Promotion or transfers	Wanted Signboards
Retired/Retrenched employees as a temporary or contract position :	Consultants
Present temporary employees or contract position to permanent position	Employee Exchange

Sources of Internal Recruitment

Hiring internally is a recruiting system through which current employees can be identified and considered for other jobs / positions in an organization.

I. Advertise the vacant position to your employees

(Circulars/Intranet advertisement/news mail): advertising a job position through internal channels could motivate any staffs who think they have a chance of getting the job to work harder to prove them. By raising their efforts, their results will often improve, too-not a bad side effect.

Here are some of the ways you could advertise to your own staff

- i. Circulate the jobs opportunity in a “News” mail.
- ii. Keep an updated Jobs/careers section on your company internet.
- iii. Post the job on your corporate website if you don’t have an internet.
- iv. Pin the job ad on your company notice board. Make the ad eye-catching.

II. From temporary to permanent:

Organizations find this source to fill the vacancies relatively at the lower level owing to the availability of suitable candidates or trade and pressure or in order to motivate them on the present job.

III. Employee Referrals:

- This can be a good source of recruitment. When employees recommend successful referrals, they (former) are paid monetary incentives which are called finder fees. Employees can develop good prospects for their families and friends by acquainting them with the advantages of a job with the company, furnishing cards of introduction, and then encourages them to apply.
- This is a very effective means as many qualified people can be reached at a very low cost to the company. The other advantages are that the employees would bring only those referrals that they feel would be able to fit in the organization based on their own experience. The organization can be assured of the reliability and the character of the referrals. In this way, the organization can also fulfill social obligations and create goodwill.
- Regardless of what system is used, as with external recruitment, employee referral programs used internally may need to rely on formal programs with recognition for participation to get employees actively participating in making referrals. Moreover, they need to be educated on eligibility requirements to ensure that qualified personnel are referred.

IV. Appointment of Promotion or transfers:

Promotions and transfers from among the present employees can be a good source of recruitment.

- A promotion is the movement to another job in a higher job classification and will result in a title change. It is an advancement of employee to a higher post with greater responsibilities and higher salary, better service conditions and thus higher status.
- Companies can give promotion to existing employees. This method of recruitment saves a lot of time, money and efforts because the company does not have to train the existing employee. Since the employee has already worked with the company. He is familiar with the working culture and working style. It is a method of encouraging efficient workers.
- Promotion to higher positions has several advantages. They are
 - ❖ It is good public relations.
 - ❖ It builds morale
 - ❖ It encourages competent individuals who are ambitious.
 - ❖ It improves the probability of a good selection, since information on the individual's performance is readily available.
 - ❖ It is cheaper than going outside to recruit.
 - ❖ Those chosen internally are familiar with the organization
 - ❖ When carefully planned, promoting from within can also act as a training device for developing middle-level and top-level managers.

Another way to recruit from present employees is transfer without promotion. Transfers are often important in providing employees with a broad-based view of the company, necessary for future promotions.

V. Retired/Retrenched employees as a temporary or contract position :

- Generally a particular organization retrenches the employee due to lay-off. The organization takes the candidates for employment from the retrenched from the retrenched employees due to obligation, trade union pressure and the like.
- Sometimes the organizations prefer to re-employ their retired employees as a token of their loyalty to the organization or to postpone some inter-personal conflicts for promotion etc. such employees are sourced as a temporary or for contract position so that the business is streamlined.

VI. Present temporary employees or contract position to permanent position: With a tight labor market and an unemployment rate floating around 3.7 percent, there are signs that some employers facing worker shortages are more willing to rehire their retirees or other former employees.

- VII. Former employees for part time/freelance/work at home:** Former employees are also an internal source of applicants. Some retired employee may be willing to come back to work on a part-time basis or may recommend someone who would be interested in working in our company. Sometimes, people who have left the company for some reason or other are willing to comeback and work. Individuals, who left for other jobs, might be willing to come back for higher emoluments. And advantage with this source is that the performance of these people is already known
- VIII. Dependent or relatives of deceased and disabled employee:** some organizations with a view to developing the commitment and loyalty of not only the employee but also his family members and to build up image provide employment to the dependents of deceased, disabled and present employees. Such organizations find this source as an effective source of recruitment.

External recruitment is the evaluation of open pool of job candidates, other than existing staff, to check whether there are any enough talented or able to fill requirements and perform existing employment opportunities.

I. Advertisement

- a. It is an external source which has got an important place in recruitment procedure. The biggest advantage of advertisement is that it covers a wide area of market and scattered applicants can get information from advertisements. Medium used is Newspapers and Television. A convenient way to attract job applicants is to write an ad that can be placed in newspapers, trade journals, and the like. Advertisements can also be recorded and placed on radio or television. Cable television channels, for example, sometimes have —job shows. Advertisements can be very costly and need to be monitored closely for yield. Advertisements in some periodicals may yield more and better qualified candidates than others. By carefully monitoring the results of each ad, the organization can then make a more informed decision as to which ads should be run next time a position is vacant. To track ads, each ad should be coded to assess the yield. Then, as resumes come into the organization in response to the ad, they can be recorded, and the yield for that ad can be calculated. Coding an ad is a very straightforward process. Like: In Newspaper, TV, Radio, Internet

II. Walk-Ins

This is again a direct form of recruitment wherein the prospective candidates are invited through an advertisement to come and apply for the job vacancy. Here, the specified date, venue, and time are mentioned, and the candidates are requested to come and give interviews directly without submitting their applications in advance.

III. Search on the Internet

As opposed to actively posting jobs online, another (but not mutually exclusive) means of recruiting on the Web is to search for applicants without ever having posted a position. Under this process, applicants submit their resumes online, which are then forwarded to employers

when they meet the employer's criteria. Such systems allow searching the databases according to various search criteria, such as job skills, years of work experience, education, major, grade-point average, and so forth. It costs applicants anywhere from nothing to \$200 or more to post their resumes or other information on the databases.

IV. Wanted Signboards

Signboards like 'Wanted' are posted at the factory front gate to recruit blue collar workers.

V. Consultants

These are agencies who contact, screen, and present applicants to employers for a fee. The fee is contingent on successful placement of a candidate with an employer and is a percentage (around 25%) of the candidate's starting salary. During difficult economic periods, employers cut back on the use of these agencies and/or attempt to negotiate lower fees in order to contain costs. Care must be exercised in selecting an employment agency. It is a good idea to check the references of employment agencies with other organizations that have already used their services. Allegations abound regarding the shoddy practices of some of these agencies. They may, for example, flood the organization with resumes. Unfortunately, this flood may include both qualified and unqualified applicants.

VI. Employment Exchange

An employment exchange is an office set up by the government for bringing together as quickly as possible those people who are in search of employment and those employers who are looking for suitable candidates. Employment exchanges register unemployed people and maintain the records of their names, qualifications, etc.

The employers on their part intimate the exchange about the vacancies which occur in their factories and types of employees they require for filling up these vacancies. Whenever any vacancy is intimated, the exchange selects some persons from among the employment seekers already registered with it and forwards their names to the employers for consideration.

VII. Campus Recruitment

When companies are in search of fresh graduates or new talent they opt for campus recruitment. Companies approach colleges, management, technical institutes, make a presentation about the company and the job and invite applications. Interested candidates who have applied are made to go through a series of selection test and interview before final selection.

EVALUATION OF RECRUITMENT PROCESS:

Evaluating the recruitment process is crucial to ensure its effectiveness and efficiency in attracting and selecting the right candidates for the organization. Here are some key aspects to consider when evaluating the recruitment process:

- ◎ **Time-to-Fill:** Measure the time taken from the initiation of the recruitment process to the final selection of a candidate. A lengthy and slow recruitment process can result in losing top talent to competitors.
- ◎ **Cost-per-Hire:** Calculate the total cost incurred during the recruitment process, including advertising expenses, agency fees, HR staff time, and other associated costs. It's essential to keep recruitment costs under control.
- ◎ **Quality of Hire:** Assess the performance and fit of candidates who were hired through the process. This can be done by tracking their performance metrics, productivity, and retention rates.
- ◎ **Source of Hire:** Analyze where successful candidates are coming from (e.g., job boards, referrals, social media, career fairs, etc.). This helps to identify the most effective recruitment channels and allocate resources accordingly.
- ◎ **Applicant Conversion Rate:** Measure the percentage of applicants who successfully move through each stage of the recruitment process. A low conversion rate may indicate issues in the selection process or candidate experience.
- ◎ **Diversity Metrics:** Evaluate the diversity of the applicant pool and the diversity of candidates who were ultimately hired. A diverse workforce can bring various perspectives and contribute to an inclusive work environment.
- ◎ **Candidate Experience:** Gather feedback from candidates about their experience during the recruitment process. A positive candidate experience can improve the employer brand and attract more top talent.
- ◎ **Feedback from Hiring Managers:** Collect feedback from hiring managers about the quality of candidates presented, the responsiveness of the HR team, and overall satisfaction with the recruitment process.
- ◎ **Regulatory Compliance:** Ensure that the recruitment process complies with all relevant laws and regulations, such as equal employment opportunity (EEO) guidelines and data privacy laws.
- ◎ **Retention Rate:** Monitor the retention rate of employees hired through the recruitment process. High turnover shortly after recruitment might indicate misalignment between candidate expectations and the actual job.
- ◎ **Benchmarking:** Compare the recruitment process metrics with industry benchmarks to gauge its competitiveness and identify areas for improvement.
- ◎ **Continuous Improvement:** Continuously review and refine the recruitment process based on feedback and data analysis. Implement changes to enhance the process and align it with the organization's evolving needs.

FUTURE TRENDS IN RECRUITMENT:

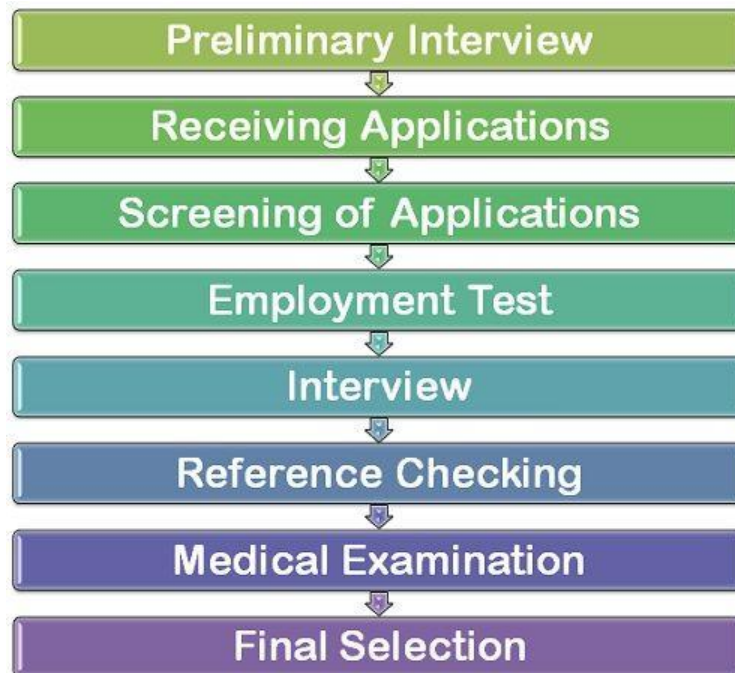
As the business landscape evolves and technology continues to advance, several future trends are likely to shape the recruitment process. Here are some key trends to watch out for:

- ◎ **Artificial Intelligence (AI) in Recruitment:** AI-driven tools and algorithms will play a significant role in streamlining the recruitment process. AI can assist in candidate sourcing, resume screening, chatbot interactions for candidate queries, and even

conducting initial interviews. This can save time, reduce bias, and improve the overall candidate experience.

- ◎ **Big Data and Predictive Analytics:** HR departments will increasingly harness big data and predictive analytics to make data-driven decisions in recruitment. Analyzing past hiring patterns, candidate behavior, and performance metrics can help identify the best sources for talent, optimize job descriptions, and predict candidate success.
- ◎ **Remote and Virtual Hiring:** The trend of remote work, accelerated by the COVID-19 pandemic, is likely to continue. Organizations will adopt virtual hiring methods, such as video interviews, virtual job fairs, and online assessments, to attract and assess candidates from anywhere in the world.
- ◎ **Employer Branding and Employee Value Proposition (EVP):** In a competitive job market, organizations will focus more on building a strong employer brand and a compelling EVP. Candidates are increasingly looking for companies that align with their values and offer a positive work culture, career development opportunities, and flexible work arrangements.
- ◎ **Skills-Based Hiring:** Degrees and traditional qualifications will remain essential, but there will be a growing emphasis on skills-based hiring. Companies will seek candidates with the right skills and abilities, regardless of their educational backgrounds.
- ◎ **Candidate Experience Optimization:** Providing a positive candidate experience will become a top priority for organizations. User-friendly application processes, personalized communication, and prompt feedback will be crucial to attracting and retaining top talent.
- ◎ **Diversity, Equity, and Inclusion (DEI) in Recruitment:** Organizations will focus on fostering diversity in their workforce and promoting inclusivity in the recruitment process. There will be efforts to eliminate bias in hiring decisions and ensure equal opportunities for all candidates.
- ◎ **Gamification and Skill Assessments:** Gamified assessments and skill-based challenges will be used to evaluate candidates' abilities in a more engaging and interactive manner, giving recruiters a better understanding of their capabilities.
- ◎ **Employee Referral Programs:** Employee referrals will continue to be an effective and reliable source of quality candidates. Companies may invest more in incentivizing employees to refer suitable candidates.
- ◎ **Social Media and Talent Pooling:** Social media platforms will play a vital role in talent acquisition. Companies will proactively engage with potential candidates on platforms like LinkedIn and build talent pools for future hiring needs.

SELECTION PROCESS



1. **Preliminary Interview:** The preliminary interview is also called as a screening interview wherein those candidates are eliminated from the further selection process who do not meet the minimum eligibility criteria as required by the organization. Here, the individuals are checked for their academic qualifications, skill sets, family backgrounds and their interest in working with the firm. The preliminary interview is less formal and is basically done to weed out the unsuitable candidates very much before proceeding with a full-fledged selection process.
2. **Receiving Applications:** Once the individual qualifies the preliminary interview he is required to fill in the application form in the prescribed format. This application contains the candidate data such as age, qualification, experience, etc. This information helps the interviewer to get the fair idea about the candidate and formulate questions to get more information about him.
3. **Screening Applications:** Once the applications are received, these are screened by the screening committee, who then prepare a list of those applicants whom they find suitable for the interviews. The shortlisting criteria could be the age, sex, qualification, experience of an individual. Once the list is prepared, the qualified candidates are called for the interview either through a registered mail or e-mails.
4. **Employment Tests:** In order to check the mental ability and skill set of an individual, several tests are conducted. Such as intelligence tests, aptitude tests, interest tests, psychological tests, personality tests, etc. These tests are conducted to judge the suitability of the candidate for the job.
5. **Employment Interview:** The one on one session with the candidate is conducted to gain more insights about him. Here, the interviewer asks questions from the applicant to discover more about him and to give him the accurate picture of the kind of a job he is required to perform.

Also, the briefing of certain organizational policies is done, which is crucial in the performance of the job. Through an interview, it is easier for the employer to understand the candidate's expectations from the job and also his communication skills along with the confidence level can be checked at this stage.

6. **Checking References:** The firms usually ask for the references from the candidate to cross check the authenticity of the information provided by him. These references could be from the education institute from where the candidate has completed his studies or from his previous employment where he was formerly engaged. These references are checked to know the conduct and behavior of an individual and also his potential of learning new jobs.
7. **Medical Examination:** Here the physical and mental fitness of the candidate are checked to ensure that he is capable of performing the job. In some organizations, the medical examination is done at the very beginning of the selection process while in some cases it is done after the final selection.
Thus, this stage is not rigid and can take place anywhere in the process. The medical examination is an important step in the selection process as it helps in ascertaining the applicant's physical ability to fulfill the job requirements.
8. **Final Selection:** Finally, the candidate who qualifies all the rounds of a selection process is given the appointment letter to join the firm.
Thus, the selection is complex and a lengthy process as it involves several stages than an individual has to qualify before getting finally selected for the job.

EFFECTIVENESS OF SELECTION PROCESS

- **Reliability:** Reliability, in the context of workforce selection, can refer to the following issues: temporal or 're-test' stability where the effectiveness of a selection tool is assessed by consistency of results obtained over time.
- **Validity:** This is described as the extent to which the selection method predicts one or more important criteria
- **Utility:** concerns the commercial benefits accrued from the use of a selection method. The basic formula involves estimating the increase in revenue as a function of the use of the selection method after subtracting the cost of the method.

SELECTION TOOLS

- **Work samples:** These are tests in which a sample of the job is performed by the candidate to ascertain his effectiveness in real situation.
- **Cognitive tests:** They are generally used for entry level jobs not requiring technical education. It tests the candidate's mental ability to do the job.
- **Structured interviews:** These two kinds of structured interviews are common. Situational/behavioural interviews use future scenarios with 'what if' questions, based on critical challenges in the job. Criterion-based questions are standard questions related to all aspects of the job prepared beforehand to test the technical knowledge or specific skills of the candidate.

- **Assessment centres:** In a span of two/three days of offsite camp, candidates are administered a battery of tests including role plays, group exercises, presentation, in-tray, and psychometric assessments under the watchful eyes of multiple assessors to comprehensively test the managerial and professional competencies of the candidate.
- **Personality Tests:** Tests the person—job fit on parameters not available in the resume.
- **Bio-data or CV:** It is drawn from the biographical details of earlier successful role holders. It aims to predict the right kind of candidates who will succeed in the job.
- **Unstructured Interviews:** Unplanned interviews, whose effectiveness will vary based on the experience and the skill of the interviewer.
- **Reference Checks:** Feedback sought from the erstwhile superior officers of the candidate, based on information provided by him/her.
- **Written Tests:** Tests to ascertain the technical knowledge of the candidate especially for jobs requiring a threshold of technical knowledge

FACTORS INFLUENCING SELECTIONS:

The selection process for hiring candidates is influenced by various factors that help employers make informed and effective hiring decisions. These factors can be broadly categorized into internal and external factors. Here are the key factors influencing selections:

INTERNAL FACTORS:

- ⊙ **Job Requirements:** The specific skills, qualifications, experience, and competencies needed for the job play a significant role in the selection process. Employers look for candidates who possess the necessary job-related attributes to perform the role successfully.
- ⊙ **Organizational Culture and Fit:** Employers consider whether the candidate's values, personality, and work style align with the organization's culture. Cultural fit is crucial for ensuring the candidate will thrive in the work environment and collaborate well with the team.
- ⊙ **Budget and Compensation:** The organization's budget for the position and the competitive compensation package offered to candidates can influence the attractiveness of the job and the pool of applicants.
- ⊙ **Workforce Planning:** The organization's strategic workforce planning may influence the selection process. For example, if there is a need to build specific skills or diversity in the workforce, it will be a consideration during candidate selection.
- ⊙ **Employee Referrals:** Employee referrals can be a powerful influence on selections. Referred candidates often have a higher chance of being hired as they come with a recommendation from an existing employee, which adds a level of trust.
- ⊙ **Internal Candidates:** In some cases, internal candidates within the organization may be considered for the position. The organization evaluates whether promoting from within would be more beneficial than hiring externally.

EXTERNAL FACTORS:

- ⊙ **Labor Market Conditions:** The availability of qualified candidates in the labor market can significantly impact the selection process. In a competitive job market with a shortage of skilled workers, employers may need to adjust their selection criteria or offer more attractive packages.
- ⊙ **Economic Conditions:** Economic factors, such as economic growth, industry trends, and business outlook, can influence hiring decisions. During times of economic uncertainty, organizations may be more cautious about expanding their workforce.
- ⊙ **Technology and Industry Trends:** Technological advancements and industry trends may require specific skills and expertise, influencing the selection criteria to identify candidates with the right capabilities.
- ⊙ **Legal and Regulatory Considerations:** Employment laws and regulations influence the selection process to ensure compliance with equal employment opportunity (EEO) requirements, anti-discrimination laws, and other relevant legislation.
- ⊙ **Demographics:** Demographic factors, such as age, gender, ethnicity, and disability status, may influence diversity initiatives and impact hiring decisions to create a more inclusive workforce.
- ⊙ **Social and Cultural Factors:** Social and cultural trends can influence what candidates prioritize in their job search, such as work-life balance, flexible work arrangements, or environmental sustainability.
- ⊙ **Market Positioning and Employer Branding:** The organization's reputation, employer brand, and market positioning can impact the quality of candidates attracted to the selection process.
- ⊙ **Geographic Location:** The location of the job and the willingness of candidates to relocate or commute can also affect the candidate pool and the selection process.

IMPORTANT QUESTIONS:

1. What do you mean by Employee referrals? 3m
2. Outline the steps involved in HRP? 7m
3. Differentiate between Job Description and Job specification with example? 3m
4. Describe various sources/ methods of Recruitment? 10m
5. Briefly explain the various selection tests? 7m
6. What is Job Analysis? Explain process of Job Analysis? 7m
7. What is Job Evaluation? Explain the process of Job evaluation? 7m
8. What is HRP? 3m
9. Elaborate the factors influencing the HRP and Recruitment? 10m
10. Describe the tools for Demand Forecasting? 10m
11. Explain the Recruitment Process? 10m
12. Explain the Recruitment Strategy? 7m
13. Explain the Process of Training? 7m
14. Explain the Selection Process? 7m
15. Describe attributes of an Effective HRP? 7m

16. Enumerate the factors influencing selections? 7m
17. Elaborate the future trends in recruitment? 7m
18. Explicit the evaluation of recruitment process? 7m

